
MOODY'S



Second Quarter 2016 Earnings Call

July 22, 2016

Overview

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GLOBAL HEAD OF INVESTOR RELATIONS AND COMMUNICATIONS

Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2016 and other forward-looking statements in this presentation are made as of July 22, 2016, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to the UK's referendum vote whereby the UK citizens voted to withdraw from the EU; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government initiatives to respond to the current world-wide credit market disruptions and economic slowdown; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Financial Reform Act and regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; provisions in the Financial Reform Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2015, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

Agenda

1. Second Quarter and First Half 2016 Results

Ray McDaniel, President and Chief Executive Officer

2. Financial and Operating Highlights

Linda Huber, Executive Vice President and Chief Financial Officer

3. Current 2016 Outlook

Ray McDaniel, President and Chief Executive Officer

4. Q&A

Ray McDaniel, President and Chief Executive Officer

Linda Huber, Executive Vice President and Chief Financial Officer

Mark Almeida, President, Moody's Analytics

Rob Fauber, President, Moody's Investors Service

1. Second Quarter 2016 Results

RAY MCDANIEL

PRESIDENT AND CHIEF EXECUTIVE OFFICER

Second Quarter 2016 Results and Comparison to Second Quarter 2015

Moody's Corporation

- » Revenue ↑ 1% to \$929 million

- » Operating Expense ↑ 4% to \$519 million

- » Operating Income ↓ 2% to \$410 million
 - Foreign currency translation favorably impacted operating income by 1%

- » Adjusted Operating Income ↓ 1% to \$441 million

Second Quarter 2016 Results and Comparison to Second Quarter 2015 (continued)

Moody's Corporation

- » Operating Margin • 44.2%
- » Adjusted Operating Margin • 47.5%
- » EPS ↑ 2% to \$1.30

First Half 2016 Performance and Comparison to First Half 2015

Moody's Corporation

» Revenue

↓ 2% to \$1.7 billion

- Excluding the impact of foreign currency translation, revenue declined 1%

— MIS

↓ 7% to \$1.2 billion

— MA

↑ 10% to \$594 million

» Operating Expense

↑ 4% to \$1 billion

- Excluding the impact of foreign currency translation, operating expense increased 6%

» Operating Income

↓ 10% to \$714 million

- Foreign currency translation negligible

» Adjusted Operated Income

↓ 8% to \$775 million

First Half 2016 Performance and Comparison to First Half 2015 (continued)

Moody's Corporation

- » Operating Margin • 40.9%
- » Adjusted Operating Margin • 44.4%
- » Effective Tax Rate • 32.1%
- » Reaffirming FY 2016 EPS guidance of \$4.55 to \$4.65; expecting to be toward the lower end of the range

2. Financial and Operating Highlights

LINDA HUBER

EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

Second Quarter 2016 Results and Comparison to Second Quarter 2015

Moody's Corporation Revenue

- » Total Global  1% to \$929 million
 - Foreign currency translation negligible
- » US  flat at \$546 million
- » Non-US  3% to \$383 million
 - 41% of total revenue
- » Recurring Revenue  6% to \$467 million
 - 50% of total revenue

Second Quarter 2016 Results and Comparison to Second Quarter 2015 (continued)

MIS Revenue

- » Total MIS
 - ↓ 2% to \$626 million
 - ↑ 19% from Q1 2016
 - Foreign currency translation negligible
- » US
 - ↓ 3% to \$399 million
- » Non-US
 - ↔ flat at \$227 million
 - 36% of total MIS revenue

Second Quarter 2016 Results and Comparison to Second Quarter 2015 (continued)

MIS Revenue by Line of Business

» Corporate Finance: \$305 million

- Global ↓ 5%
- US ↓ 4%
- Non-US ↓ 6%

» Structured Finance: \$112 million

- Global ↓ 8%
- US ↓ 16%
- Non-US ↑ 14%

Second Quarter 2016 Results and Comparison to Second Quarter 2015 (continued)

MIS Revenue by Line of Business

» Financial Institutions: \$90 million

- Global ↓ 1%
- US ↑ 7%
- Non-US ↓ 7%

» Public, Project & Infrastructure Finance: \$112 million

- Global ↑ 12%
- US ↑ 11%
- Non-US ↑ 16%

» MIS Other: \$7 million; down 10%

Second Quarter 2016 Results and Comparison to Second Quarter 2015 (continued)

MA Revenue by Geography

» Total MA

↑ 9% to \$303 million

- Foreign currency translation unfavorably impacted MA revenue by 1%

↑ 6% excluding the March 2016 acquisition of GGY

» US

↑ 10% to \$147 million

» Non-US

↑ 8% to \$156 million

- 52% of total MA revenue

Second Quarter 2016 Results and Comparison to Second Quarter 2015 (continued)

MA Revenue by Line of Business

» Research, Data and Analytics: \$168 million

- Global ↑ 7%
 - 55% of total MA revenue
- US ↑ 7%
- Non-US ↑ 7%

MA Revenue by Line of Business

- Global ↑ 17%
- US ↑ 21%
- Non-US ↑ 15%

» ERS TTM* Sales ↑ 6%

Moody's

Second Quarter 2016 Results and Comparison to Second Quarter 2015 (continued)

MA Revenue by Line of Business

» Professional Services: \$38 million

- Global ↓ 2%
- US ↔ flat
- Non-US ↓ 3%

Second Quarter 2016 Results and Comparison to Second Quarter 2015 (continued)

Moody's Corporation

- » Operating Expense ↑ 4% to \$519 million
 - Foreign currency translation favorably impacted expense by 2%

- » Operating Margin • 44.2%

- » Adjusted Operating Margin • 47.5%

- » Effective Tax Rate • 31.9%

Second Quarter 2016 Capital Allocation

- » During 2Q 2016, Moody's repurchased 2.3 million shares at a total cost of \$223.8 million, or an average cost of \$96.60 per share, and issued 249 thousand shares as part of its annual employee stock-based compensation plans
- » During 2Q 2016, Moody's paid \$71.5 million in dividends
- » On July 12, 2016, Moody's announced a quarterly dividend of \$0.37 per share of Moody's common stock payable September 12, 2016 to stockholders of record at the close of business on August 22, 2016

First Half 2016 Capital Allocation

- » During 1H 2016, Moody's repurchased 5.2 million shares at a total cost of \$485.9 million, or an average cost of \$92.83 per share
- » During 1H 2016, Moody's paid \$143.6 million in dividends
- » As of June 30, 2016, shares outstanding totaled 192.3 million
 - 4% decline from June 30, 2015
- » As of June 30, 2016, \$1 billion of share repurchase authority remaining

Balance Sheet and Free Cash Flow

» As of June 30, 2016, Moody's had:

- \$3.4 billion of outstanding debt
- \$1 billion of additional debt capacity available under its revolving credit facility
- Total cash, cash equivalents and short-term investments of \$2 billion
 - » Approximately 78% held outside the US

» Free cash flow of \$475 million for 1H 2016, down 14% from 1H 2015

3. Current 2016 Outlook

RAY MCDANIEL

PRESIDENT AND CHIEF EXECUTIVE OFFICER

Changes to 2016 Outlook

- » Our guidance assumes foreign currency translation at end-of-quarter exchange rates. Specifically, our forecast reflects exchange rates for the British pound (£) of \$1.34 to £1 and for the euro (€) of \$1.11 to €1.

Changes to 2016 Full-Year Financial Outlook*	
MIS	Current Guidance as of July 22, 2016
Revenue	decrease in the low-single-digit percent range
MIS Non-U.S.	decrease in the low-single-digit percent range
Structured Finance	decrease in the high-single-digit percent range
MA	
Revenue	increase in the mid-single-digit percent range
MA Non-U.S.	increase in the low-single-digit percent range

*Refer to "Moody's Corporation Reports Results for Second Quarter 2016" press release for a full review of guidance.

Highlights

» Korea Investors Service (KIS)



- Acquired full ownership
- Leading provider of domestic credit ratings in Korea
- Long-standing and productive relationship since 2001
- No significant impact on 2016 EPS; funded from international cash on hand

» MIS Voted “Best Credit Rating Agency”



- 2016 poll of US fixed income investors conducted by publisher Institutional Investor
- 5th year in a row MIS has won this award

» Moody's Analytics Risk Quality (MARQ)



- Launch of new credit metric for small companies
- Result of collaboration with Finagraph, a financial technology company in which we made a minority investment earlier in 2016

4. Q&A Session

» Ray McDaniel

President and Chief Executive Officer, Moody's Corporation

» Linda Huber

Executive Vice President and Chief Financial Officer, Moody's Corporation

» Mark Almeida

President, Moody's Analytics

» Rob Fauber

President, Moody's Investors Service

USD Market: Issuance Views

Views on this page are from various investment banks and capital markets economists. Issuance views are for both financial and non-financial US dollar issuance and may not align with Moody's revenue categorizations.

Investment Grade

- Investment grade market has been resilient post-Brexit with all-in yields below previous record lows
- M&A-related financing continues to be a strong driver
- Favorable market conditions are expected to encourage opportunistic issuance post-earnings black-outs
- FY 2016 estimated issuance forecasts range from flat to up 10% vs. FY 2015

High Yield

- High yield new issuance in Q2 was the strongest it has been in a year
- Many issuers who were waiting to see the market reaction to Brexit are beginning to emerge, though issuance windows may be shorter
- FY 2016 estimated issuance forecasts range from down 10% to down 20% vs. FY 2015

Leveraged Loans

- CLO issuance has started to re-emerge (~\$30 billion year-to-date)
- Pipeline is modest
- FY 2016 estimated issuance forecasts range from down 10% to down 20% vs. FY 2015

Euro Market: Issuance Views

Views on this page are from various investment banks and capital markets economists. Issuance views are for both financial and non-financial euro issuance and may not align with Moody's revenue categorizations.

Investment Grade

- Record low coupons as the ECB's corporate bond buying program continues to help the market
- US corporates continue to see value in accessing the Euro market and are expected to remain a heavy component of the market
- Supply has slowed entering the traditional "summer slowdown" and as many issuers accessed the markets pre-Brexit

High Yield

- Market has reopened after a period of muted issuance following the Brexit vote; however, issuance windows likely to be shorter due to macroeconomic climate and "summer slowdown"
- Investors are moving down to the speculative grade market searching for yield

Investor Day 2016

MOODY'S

Save the Date

Moody's Investor Day 2016

Moody's Corporation is holding its annual Investor Day on **Wednesday, September 28, 2016** in New York City. The event, which will be webcast live, will feature presentations from management and showcase important aspects of the Company's business.

Additional details to follow.

Replay Details

» Available from 3:30pm (Eastern Time) July 22, 2016 until 3:30pm (Eastern Time) August 20, 2016

» Telephone Details:

- US +1-888-203-1112
- Non-US +1-719-457-0820
- Passcode 8452229

» Webcast Details:

- Go to <http://ir.moodys.com>
- Click on “Events & Presentations”
- Click on the link for “2Q 2016 Earnings Conference Call”

Appendix

Consolidated Statements of Operations

(Unaudited)

	Three Months Ended June 30,		Six Months End June 30,	
	2016	2015	2016	2015
<i>Amounts in millions, except per share amounts</i>				
Revenue	\$ 928.9	\$ 918.1	\$ 1,745.0	\$ 1,783.7
Expenses:				
Operating	258.9	243.9	508.1	488.3
Selling, general and administrative	228.6	227.0	461.5	448.3
Depreciation and amortization	31.2	27.9	61.1	56.5
Total expenses	518.7	498.8	1,030.7	993.1
Operating income	410.2	419.3	714.3	790.6
Non-operating (expense) income, net				
Interest expense, net	(34.3)	(31.9)	(68.4)	(61.2)
Other non-operating income, net	3.0	(8.2)	8.6	(5.7)
Total non-operating expense, net	(31.3)	(40.1)	(59.8)	(66.9)
Income before provision for income taxes	378.9	379.2	654.5	723.7
Provision for income taxes	120.8	115.1	209.8	228.3
Net income	258.1	264.1	444.7	495.4
Less: net income attributable to noncontrolling interests	2.6	2.4	4.8	3.6
Net income attributable to Moody's Corporation	\$ 255.5	\$ 261.7	\$ 439.9	\$ 491.8
Earnings per share attributable to Moody's common shareholders				
Basic	\$ 1.32	\$ 1.30	\$ 2.27	\$ 2.43
Diluted	\$ 1.30	\$ 1.28	\$ 2.24	\$ 2.39
Weighted average number of shares outstanding				
Basic	193.4	201.3	194.2	202.0
Diluted	195.8	204.4	196.8	205.4

Supplemental Revenue Information

(Unaudited)

Amounts in millions	Three Months Ended June 30,		Six Months Ended June 30,	
	2016	2015	2016	2015
Moody's Investors Service				
Corporate Finance	\$ 304.8	\$ 319.6	\$ 545.1	\$ 618.3
Structured Finance	111.5	121.2	202.1	222.5
Financial Institutions	89.7	90.4	184.6	184.2
Public, Project and Infrastructure Finance	112.3	99.9	203.8	200.6
MIS Other	7.3	8.1	15.1	15.9
Intersegment royalty	24.6	23.7	48.6	46.0
Sub-total MIS	650.2	662.9	1,199.3	1,287.5
Eliminations	(24.6)	(23.7)	(48.6)	(46.0)
Total MIS revenue	625.6	639.2	1,150.7	1,241.5
Moody's Analytics				
Research, Data and Analytics	168.3	157.5	333.2	307.1
Enterprise Risk Solutions	97.5	83.2	187.0	160.3
Professional Services	37.5	38.2	74.1	74.8
Intersegment revenue	2.8	3.1	5.6	6.4
Sub-total MA	306.1	282.0	599.9	548.6
Eliminations	(2.8)	(3.1)	(5.6)	(6.4)
Total MA revenue	303.3	278.9	594.3	542.2
Total Moody's Corporation revenue	\$ 928.9	\$ 918.1	\$ 1,745.0	\$ 1,783.7
Moody's Corporation revenue by geographic area				
United States	\$ 545.9	\$ 545.9	\$ 1,025.9	\$ 1,045.7
International	383.0	372.2	719.1	738.0
	<u>\$ 928.9</u>	<u>\$ 918.1</u>	<u>\$ 1,745.0</u>	<u>\$ 1,783.7</u>

Selected Consolidated Balance Sheet Data

(Unaudited)

	June 30, 2016	December 31, 2015*
<i>Amounts in millions</i>		
Cash and cash equivalents	\$ 1,674.3	\$ 1,757.4
Short-term investments	352.5	474.8
Total current assets	3,030.1	3,243.1
Non-current assets	2,014.8	1,859.9
Total assets	5,044.9	5,103.0
Total current liabilities	1,146.4	1,218.5
Total debt	3,420.4	3,380.6
Other long-term liabilities	847.6	836.9
Total shareholders' (deficit)	(369.5)	(333.0)
Total liabilities and shareholders' (deficit)	5,044.9	5,103.0
Actual number of shares outstanding	192.3	196.1

*In the first quarter of 2016, the Company adopted a new accounting update on a retrospective basis which requires debt issuance costs to be presented as a reduction of debt rather than as an asset. Accordingly, the Company reclassified debt issuance costs, which were previously included in non-current assets, as a reduction of total debt.

Selected Consolidated Balance Sheet Data (continued)

(Unaudited)

Total debt consists of the following:

	June 30, 2016				
	Principal Amount	Fair Value of Interest Rate Swap ⁽¹⁾	Unamortized (Discount) Premium	Unamortized Debt Issuance Cost ⁽²⁾	Carrying Value
Notes Payable:					
6.06% Series 2007-1 Notes due 2017	\$ 300.0	\$ -	\$ -	\$ (0.1)	\$ 299.9
5.50% 2010 Senior Notes, due 2020	500.0	25.5	(1.5)	(1.8)	522.2
4.50% 2012 Senior Notes, due 2022	500.0	-	(2.6)	(2.3)	495.1
4.875% 2013 Senior Notes, due 2024	500.0	-	(2.2)	(2.9)	494.9
2.75% 2014 Senior Notes (5-Year), due 2019	450.0	12.0	(0.5)	(2.1)	459.4
5.25% 2014 Senior Notes (30-Year), due 2044	600.0	-	3.3	(6.0)	597.3
1.75% 2015 Senior Notes, due 2027	555.5	-	-	(3.9)	551.6
Total long-term debt	\$ 3,405.5	\$ 37.5	\$ (3.5)	\$ (19.1)	\$ 3,420.4

	December 31, 2015				
	Principal Amount	Fair Value of Interest Rate Swap ⁽¹⁾	Unamortized (Discount) Premium	Unamortized Debt Issuance Cost ⁽²⁾	Carrying Value
Notes Payable:					
6.06% Series 2007-1 Notes due 2017	\$ 300.0	\$ -	\$ -	\$ (0.2)	\$ 299.8
5.50% 2010 Senior Notes, due 2020	500.0	9.4	(1.6)	(2.0)	505.8
4.50% 2012 Senior Notes, due 2022	500.0	-	(2.8)	(2.5)	494.7
4.875% 2013 Senior Notes, due 2024	500.0	-	(2.3)	(3.1)	494.6
2.75% 2014 Senior Notes (5-Year), due 2019	450.0	2.3	(0.5)	(2.4)	449.4
5.25% 2014 Senior Notes (30-Year), due 2044	600.0	-	3.4	(6.2)	597.2
1.75% 2015 Senior Notes, due 2027	543.1	-	-	(4.0)	539.1
Total long-term debt	\$ 3,393.1	\$ 11.7	\$ (3.8)	\$ (20.4)	\$ 3,380.6

⁽¹⁾ Reflects interest rate swaps on the 2010 Senior Notes and the 2014 Senior Notes (5-Year).

⁽²⁾ Pursuant to a new accounting update, unamortized debt issuance costs are presented as a reduction to the carrying value of the debt.

Non-operating (Expense) Income, Net

	Three Months Ended June 30,		Six Months Ended June 30,	
	2016	2015	2016	2015
<i>Amounts in millions</i>				
Interest:				
Expense on borrowings	\$ (35.4)	\$ (30.7)	\$ (70.0)	\$ (59.0)
Income	2.8	2.3	5.7	4.2
Expense on UTPs and other tax related liabilities	(1.7)	(3.5)	(4.5)	(6.7)
Interest capitalized	-	-	0.4	0.3
Total interest expense, net	<u>\$ (34.3)</u>	<u>\$ (31.9)</u>	<u>\$ (68.4)</u>	<u>\$ (61.2)</u>
Other non-operating (expense) income, net:				
FX gain/(loss)	\$ 0.8	\$ (12.2)	\$ 4.8	\$ (12.2)
Joint venture income	3.0	3.4	4.9	5.3
Other	(0.8)	0.6	(1.1)	1.2
Other non-operating (expense) income, net	<u>3.0</u>	<u>(8.2)</u>	<u>8.6</u>	<u>(5.7)</u>
Total non-operating (expense) income, net	<u>\$ (31.3)</u>	<u>\$ (40.1)</u>	<u>\$ (59.8)</u>	<u>\$ (66.9)</u>

Financial Information by Segment

The table below presents revenue, adjusted operating income and operating income by reportable segment. The Company defines adjusted operating income as operating income excluding depreciation and amortization.

	Three Months Ended June 30,							
	2016				2015			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	\$ 650.2	\$ 306.1	\$ (27.4)	\$ 928.9	\$ 662.9	282.0	(26.8)	\$ 918.1
Operating, selling, general and administrative expense	281.3	233.6	(27.4)	487.5	287.0	210.7	(26.8)	470.9
Adjusted operating income	368.9	72.5	-	441.4	375.9	71.3	-	447.2
Depreciation and amortization	18.2	13.0	-	31.2	15.8	12.1	-	27.9
Operating income	\$ 350.7	\$ 59.5	\$ -	\$ 410.2	\$ 360.1	\$ 59.2	\$ -	\$ 419.3
Adjusted operating margin	56.7%	23.7%		47.5%	56.7%	25.3%		48.7%
Operating margin	53.9%	19.4%		44.2%	54.3%	21.0%		45.7%
	Six Months Ended June 30,							
	2016				2015			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	\$ 1,199.3	\$ 599.9	\$ (54.2)	\$ 1,745.0	\$ 1,287.5	\$ 548.6	\$ (52.4)	\$ 1,783.7
Operating, selling, general and administrative expense	559.9	463.9	(54.2)	969.6	568.3	420.7	(52.4)	936.6
Adjusted operating income	639.4	136.0	-	775.4	719.2	127.9	-	847.1
Depreciation and amortization	35.7	25.4	-	61.1	31.8	24.7	-	56.5
Operating income	\$ 603.7	\$ 110.6	\$ -	\$ 714.3	\$ 687.4	\$ 103.2	\$ -	\$ 790.6
Adjusted operating margin	53.3%	22.7%		44.4%	55.9%	23.3%		47.5%
Operating margin	50.3%	18.4%		40.9%	53.4%	18.8%		44.3%

Transaction and Relationship Revenue

The tables below summarize the split between transaction and relationship revenue. In the MIS segment, excluding MIS Other, transaction revenue represents the initial rating of a new debt issuance as well as other one-time fees while relationship revenue represents the recurring monitoring of a rated debt obligation and/or entities that issue such obligations, as well as revenue from programs such as commercial paper, medium-term notes and shelf registrations. In MIS Other, transaction revenue represents revenue from professional services and outsourcing engagements and relationship revenue represents subscription based revenues. In the MA segment, relationship revenue represents subscription-based revenues and software maintenance revenue. Transaction revenue in MA represents software license fees and revenue from risk management advisory projects, training and certification services, and outsourced research and analytical engagements.

	Three Months Ended June 30,					
	2016			2015		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	\$215.6	\$89.2	\$304.8	\$232.8	\$86.8	\$319.6
	71%	29%	100%	73%	27%	100%
Structured Finance	\$68.0	\$43.5	\$111.5	\$80.3	\$40.9	\$121.2
	61%	39%	100%	66%	34%	100%
Financial Institutions	\$29.8	\$59.9	\$89.7	\$32.8	\$57.6	\$90.4
	33%	67%	100%	36%	64%	100%
Public, Project and Infrastructure Finance	\$73.2	\$39.1	\$112.3	\$62.2	\$37.7	\$99.9
	65%	35%	100%	62%	38%	100%
MIS Other	\$2.7	\$4.6	\$7.3	\$4.1	\$4.0	\$8.1
	37%	63%	100%	51%	49%	100%
Total MIS	\$389.2	\$236.4	\$625.6	\$412.2	\$227.0	\$639.2
	62%	38%	100%	64%	36%	100%
Moody's Analytics	\$72.8	\$230.5	\$303.3	\$67.1	\$211.8	\$278.9
	24%	76%	100%	24%	76%	100%
Total Moody's Corporation	\$462.0	\$466.9	\$928.9	\$479.3	\$438.8	\$918.1
	50%	50%	100%	52%	48%	100%

Transaction and Relationship Revenue (continued)

The tables below summarize the split between transaction and relationship revenue. In the MIS segment, excluding MIS Other, transaction revenue represents the initial rating of a new debt issuance as well as other one-time fees while relationship revenue represents the recurring monitoring of a rated debt obligation and/or entities that issue such obligations, as well as revenue from programs such as commercial paper, medium-term notes and shelf registrations. In MIS Other, transaction revenue represents revenue from professional services and outsourcing engagements and relationship revenue represents subscription based revenues. In the MA segment, relationship revenue represents subscription-based revenues and software maintenance revenue. Transaction revenue in MA represents software license fees and revenue from risk management advisory projects, training and certification services, and outsourced research and analytical engagements.

	Six Months Ended June 30,					
	2016			2015		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	\$366.5	\$178.6	\$545.1	\$446.3	\$172.0	\$618.3
	67%	33%	100%	72%	28%	100%
Structured Finance	\$117.8	\$84.3	\$202.1	\$142.1	\$80.4	\$222.5
	58%	42%	100%	64%	36%	100%
Financial Institutions	\$66.8	\$117.8	\$184.6	\$70.6	\$113.6	\$184.2
	36%	64%	100%	38%	62%	100%
Public, Project and Infrastructure Finance	\$127.0	\$76.8	\$203.8	\$126.7	\$73.9	\$200.6
	62%	38%	100%	63%	37%	100%
MIS Other	\$5.6	\$9.5	\$15.1	\$7.4	\$8.5	\$15.9
	37%	63%	100%	47%	53%	100%
Total MIS	\$683.7	\$467.0	\$1,150.7	\$793.1	\$448.4	\$1,241.5
	59%	41%	100%	64%	36%	100%
Moody's Analytics	\$142.1	\$452.2	\$594.3	\$127.7	\$414.5	\$542.2
	24%	76%	100%	24%	76%	100%
Total Moody's Corporation	\$825.8	\$919.2	\$1,745.0	\$920.8	\$862.9	\$1,783.7
	47%	53%	100%	52%	48%	100%

Non-GAAP Adjusted Operating Income and Adjusted Operating Margin

The tables below reflect certain adjusted results that the SEC defines as "non-GAAP financial measures" as well as a reconciliation of each non-GAAP measure to its most directly comparable GAAP measure. Management believes that such non-GAAP financial measures, when read in conjunction with the Company's reported results, can provide useful supplemental information for investors analyzing period-to-period comparisons of the Company's performance, facilitate comparisons to competitors' operating results and to provide greater transparency to investors of supplemental information used by management in its financial and operational decision-making. These non-GAAP measures, as defined by the Company, are not necessarily comparable to similarly defined measures of other companies. Furthermore, these non-GAAP measures should not be viewed in isolation or used as a substitute for other GAAP measures in assessing the operating performance or cash flows of the Company.

The table below reflects a reconciliation of the Company's operating income and operating margin to adjusted operating income and adjusted operating margin. The Company defines adjusted operating income as operating income excluding depreciation and amortization. The Company presents adjusted operating income because management deems this metric to be a useful measure of assessing the operating performance of Moody's, measuring the Company's ability to service debt, fund capital expenditures, and expand its business. Adjusted operating income excludes depreciation and amortization because companies utilize productive assets of different ages and use different methods of both acquiring and depreciating productive assets. Management believes that the exclusion of this item, detailed in the reconciliation below, allows for a more meaningful comparison of the Company's results from period to period and across companies. The Company defines adjusted operating margin as adjusted operating income divided by revenue.

(amounts in millions)	Three Months Ended June 30,		Six Months Ended June 30,	
	2016	2015	2016	2015
Operating income	\$ 410.2	\$ 419.3	\$ 714.3	\$ 790.6
Depreciation & amortization	31.2	27.9	61.1	56.5
Adjusted operating income	\$ 441.4	\$ 447.2	\$ 775.4	\$ 847.1
Operating margin	44.2%	45.7%	40.9%	44.3%
Adjusted operating margin	47.5%	48.7%	44.4%	47.5%

	Year Ended December 31, 2016
Operating margin guidance	Approximately 41%
Depreciation and amortization	Approximately 4%
Adjusted operating margin guidance	Approximately 45%

Free Cash Flow

The table below reflects a reconciliation of the Company's net cash flows from operating activities to free cash flow. The Company defines free cash flow as net cash provided by operating activities minus payments for capital additions. Management believes that free cash flow is a useful metric in assessing the Company's cash flows to service debt, pay dividends and to fund acquisitions and share repurchases. Management deems capital expenditures essential to the Company's product and service innovations and maintenance of Moody's operational capabilities. Accordingly, capital expenditures are deemed to be a recurring use of Moody's cash flow.

	Six Months Ended June 30,	
	2016	2015
<i>(amounts in millions)</i>		
Net cash flows from operating activities	\$ 528.8	\$ 594.4
Capital additions	(54.3)	(40.7)
Free cash flow	\$ 474.5	\$ 553.7
Net cash used in investing activities	\$ (7.3)	\$ (91.8)
Net cash used in financing activities	\$ (622.8)	\$ (157.6)
	Year Ended December 31, 2016	
Net cash flows from operating activities guidance	Approximately \$1.1 billion	
Capital additions guidance	(Approximately \$125 million)	
Free cash flow guidance	<u>Approximately \$1.0 billion</u>	

2016 Outlook

Moody's outlook for 2016 is based on assumptions about many geopolitical conditions and macroeconomic and capital market factors, including interest rates, foreign currency exchange rates, corporate profitability and business investment spending, merger and acquisition activity, consumer borrowing and securitization, and the amount of debt issued. These assumptions are subject to some degree of uncertainty, and results for the year could differ materially from our current outlook. Moody's guidance assumes foreign currency translation at end-of-quarter exchange rates. Specifically, our forecast reflects exchange rates for the British pound (£) of \$1.34 to £1 and for the euro (€) of \$1.11 to €1.

Full-year 2016 Moody's Corporation guidance		
MOODY'S CORPORATION	Current guidance as of July 22, 2016	Last publicly disclosed guidance on April 29, 2016
Revenue	increase in the low-single-digit percent range	NC
Operating expense	increase in the mid-single-digit percent range	NC
Depreciation & amortization	Approximately \$130 million	NC
Operating margin	Approximately 41%	NC
Adjusted operating margin	Approximately 45%	NC
Effective tax rate	32% - 32.5%	NC
EPS	\$4.55 to \$4.65*	NC
Capital expenditures	Approximately \$125 million	NC
Free cash flow	Approximately \$1 billion	NC
Share repurchases	Approximately \$1 billion (subject to available cash, market conditions and other ongoing capital allocation decisions)	NC

Full-year 2016 revenue guidance		
MIS	Current guidance as of July 22, 2016	Last publicly disclosed guidance on April 29, 2016
MIS global	decrease in the low-single-digit percent range	Approximately flat
MIS U.S.	decrease in the low-single-digit percent range	NC
MIS Non-U.S.	decrease in the low-single-digit percent range	increase in the low-single-digit percent
CFG	decrease in the low-single-digit percent range	NC
SFG	decrease in the high-single-digit percent range	decrease in the mid-single-digit percent
FIG	increase in the mid-single-digit percent range	NC
PPIF	increase in the mid-single-digit percent range	NC
MA		
MA global	increase in the mid-single-digit percent range	increase in the high-single-digit percent
MA U.S.	increase in the low-double-digit percent range	NC
MA Non-U.S.	increase in the low-single-digit percent range	increase in the mid-single-digit percent
RD&A	increase in the high-single-digit percent range	NC
ERS	increase in the high-single-digit percent range	NC
PS	decrease in the low-single-digit percent range	NC

NC- There is no difference between the Company's current guidance and the last publicly disclosed guidance for this item.
 * Expecting to be toward the lower end of the range.

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